

Bank of Leeds Investment Proposal

Yorkshire Agricultural Renaissance Fund 2050

A £3 Billion Transformation Programme for Yorkshire Farming, Food Production and Rural Enterprise

Prepared for:

Bank of Leeds – Agricultural Investment & Rural Development Division

Investment Classification:

Strategic Food Security / Rural Economy / Agri-Technology / Infrastructure

Investment Horizon:

25 years

Executive Summary

The Bank of Leeds proposes the creation of the **Yorkshire Agricultural Renaissance Fund**, a long-term investment programme to transform Yorkshire from a traditional farming region into a **high-value, technology-enabled food production economy**.

Yorkshire already possesses one of Britain's strongest agricultural bases. The Yorkshire and Humber agricultural economy generates approximately **£3.1 billion of agricultural output**, with major contributions from pigmeat, poultry, milk and wheat. Total Income from Farming was approximately **£582 million in 2024**.

However, the sector faces structural challenges:

- declining farm profitability,
- ageing farmers,
- volatile commodity markets,
- rising input costs,
- climate pressures,
- weak processing infrastructure.

The Bank of Leeds opportunity is to move Yorkshire farming from:

"Selling raw agricultural commodities"

towards:

"Owning the entire food value chain."

The proposed investment:

£3 billion over 15 years

would create:

- advanced farms,
 - food processing facilities,
 - agricultural technology companies,
 - farm energy systems,
 - premium Yorkshire food brands,
 - export capability.
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Strategic Vision

Yorkshire Food & Farming 2050

A vertically integrated agricultural economy:

Land

↓

Production

↓

Processing

↓

Branding

↓

Export

Investment Thesis

Yorkshire has several natural advantages:

Geography

- fertile East Yorkshire plains,
- Yorkshire Wolds,

- Vale of York,
 - Pennine grazing land,
 - proximity to major cities.
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Existing Strength

The region already has:

- large-scale cereal production,
- livestock farming,
- poultry,
- dairy,
- food manufacturing.

The Yorkshire and Humber region contains over **1 million hectares of farmed area**, with cereals and grazing livestock among the dominant systems.

Proposed Fund

Yorkshire Agricultural Renaissance Fund

Total Investment:

£3 Billion

Capital Allocation

Sector	Investment
Precision agriculture	£400m
Food processing	£700m
Premium Yorkshire brands	£250m
Controlled environment agriculture	£400m
Farm infrastructure	£400m
Agricultural energy systems	£350m
Rural property & diversification	£250m
Research & innovation	£250m

Pillar One

Yorkshire Precision Farming Network

Investment:

£400 million

Objective

Create Britain's most technologically advanced farming region.

Technology:

- AI crop monitoring
 - autonomous tractors
 - robotics
 - satellite farming
 - soil sensors
 - automated harvesting
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Programme

Establish:

Yorkshire Agricultural Technology Cluster

Locations:

- York
 - Harrogate
 - Selby
 - Scarborough
 - Sheffield
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Economic Model

Investment:

£400m

Expected productivity improvement:

10–20%

Across:

1 million hectares

Benefits:

- reduced fertiliser costs,
 - higher yields,
 - lower environmental impact.
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Pillar Two

Yorkshire Food Processing Revolution

Investment:

£700 million

Current Problem

Yorkshire produces significant agricultural output but often captures limited downstream value.

Example:

A farmer sells wheat.

Another company sells:

- flour,
- bread,
- pasta,
- premium products.

The value creation happens elsewhere.

Proposal

Create:

Yorkshire Food Industrial Parks

Locations:

- Goole

- Doncaster
 - Selby
 - Scarborough
 - Hull corridor
-

Facilities:

Meat Processing

£200m

Dairy Innovation

£150m

Products:

- Yorkshire cheeses
 - speciality dairy
 - protein products
-

Grain Processing

£200m

Products:

- flour
 - whisky grain
 - artisan bakery inputs
-

Cold Storage & Logistics

£150m

Financial Impact

Potential annual turnover:

£1 billion+

Jobs:

8,000

Pillar Three

Yorkshire Premium Food Brand

Investment:

£250 million

Create:

Yorkshire Foods plc

A regional equivalent of:

- Danish Crown
 - New Zealand dairy exporters
 - Italian regional food brands
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Products:

Yorkshire Beef

Premium grass-fed.

Yorkshire Lamb

Pennine heritage brand.

Yorkshire Dairy

Luxury cheese and milk.

Yorkshire Grain

Premium flour and bakery products.

Yorkshire Honey & Produce

Export Strategy

Target markets:

- United States
 - Middle East
 - Japan
 - Europe
-

Potential export revenue:

£500m annually

Pillar Four

Controlled Environment Agriculture

Investment:

£400 million

Yorkshire has strong potential for controlled environment agriculture due to:

- food processing clusters,
- logistics access,
- research capability.

The York and North Yorkshire region has already been recognised as a UK high-potential location for controlled environment agriculture and horticulture.

Develop:

Vertical Farms

Locations:

- Leeds
 - York
 - Sheffield
-

Produce:

- salad crops
 - herbs
 - specialist vegetables
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Glasshouse Complexes

East Yorkshire:

- tomatoes
 - peppers
 - strawberries
-

Investment:

£400m

Revenue potential:

£250m/year

Pillar Five

Farm Energy Revolution

Investment:

£350 million

Create:

Yorkshire Farm Energy Network

Projects:

Anaerobic Digestion

Using:

- manure

- food waste
 - agricultural residues
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Solar Agriculture

Agrivoltaics:

- energy production
 - continued farming.
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Biomass

Revenue:

Energy sales:

£80m/year

Pillar Six

Yorkshire Rural Estate Investment

Investment:

£250 million

Transform farms into diversified rural businesses.

Develop:

- farm shops,
 - restaurants,
 - holiday accommodation,
 - vineyards,
 - breweries,
 - rural experiences.
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Example:

A traditional farm becomes:

- food producer,
 - hospitality business,
 - tourism destination.
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Financial Model

15-Year Projection

Year	Revenue	EBITDA
Year 1	£100m	£15m
Year 5	£750m	£120m
Year 10	£1.8bn	£350m
Year 15	£3bn	£600m

Employment Impact

Construction

25,000 job-years

Permanent Employment

Direct:

15,000 jobs

Indirect:

30,000 jobs

GDP Impact

Estimated additional Yorkshire economic activity:

£2–4 billion annually

Driven by:

- food manufacturing,
- exports,
- technology,

- logistics,
 - tourism.
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Bank of Leeds Investment Structure

Yorkshire Agricultural Renaissance Fund

Capital:

£3 billion

Funding:

Source	Amount
Bank of Leeds	£750m
Pension Funds	£1bn
Government Agriculture Funds	£500m
Private Investors	£750m

Strategic Investments

The Bank of Leeds should create:

Yorkshire Agricultural Investment Corporation

Ownership stakes in:

- processing plants,
 - technology companies,
 - logistics hubs,
 - food brands.
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Risk Assessment

Commodity Price Risk

Solution:

Move downstream into processing and branding.

Climate Risk

Solution:

Invest in:

- irrigation,
 - controlled agriculture,
 - resilient crops.
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Labour Shortages

Solution:

Automation and skilled agricultural technology jobs.

Strategic Recommendation

The Bank of Leeds should establish:

Yorkshire Agricultural Renaissance Fund

with an initial investment:

£750 million

focused on:

1. Food processing.
 2. Precision agriculture.
 3. Premium Yorkshire brands.
 4. Controlled environment farming.
 5. Rural diversification.
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Final Investment Thesis

Yorkshire has historically fed Britain.

The next opportunity is to make Yorkshire:

not merely a producer of food, but the owner of the entire food economy.

A Bank of Leeds-backed agricultural strategy could create:

"The Yorkshire Food Valley — Britain's most advanced regional food economy by 2050."